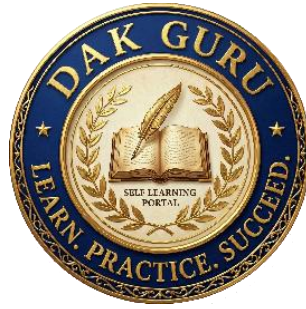




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THE PUBLIC ACCOUNTANTS' DEFAULTS ACT, 1850

(Act No. XII of 1850)

Study Notes — Updated & Verified Edition

⚠ IMPORTANT STATUS UPDATE ⚠

This Act stands **REPEALED** by the Repealing and Amending Act, 2019 (Act No. 31 of 2019), w.e.f. 8 August 2019. These notes cover the Act's historical provisions, the repeal, its savings clause, and the present position on recovery in the Department of Posts.

For LDCE Inspector of Posts & PS Group B Examination Aspirants

Verified against primary sources

DISCLAIMER

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While every effort has been made to verify the contents against the latest in-force primary sources — including the India Code portal and official publications of the Legislative Department, Ministry of Law and Justice — these notes are not a substitute for the authoritative bare Act, the official Gazette of India, or the departmental codes, manuals and directorate instructions. In the event of any discrepancy between these notes and the official texts, the official texts shall prevail.

The Public Accountants' Defaults Act, 1850 discussed herein stands repealed. It is covered in these notes for its historical and conceptual importance, for understanding older departmental instructions and case law that refer to it, and because questions on the status of statutes may appear in examinations. Nothing in these notes should be treated as legal advice or as authority for initiating or defending any recovery proceeding.

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1. Status of the Act — At a Glance

Particulars	Details
Name of the Act	The Public Accountants' Defaults Act, 1850
Act Number	Act No. XII (12) of 1850
Date of enactment	22nd March 1850
Object (Preamble)	For better avoidance of loss through the default of public accountants
Short title given by	The Short Titles Act, 1897 (Act 14 of 1897)
Number of sections	6 (Section 6 was repealed as early as 1870 by the Repealing Act, 1870)
Current status	REPEALED — by the Repealing and Amending Act, 2019 (Act No. 31 of 2019), which received the assent of the President on 8 August 2019. The Act is the very first entry in the First Schedule (Repeals) of that Act.
Savings	Section 4 of the Repealing and Amending Act, 2019 saves past acts, accrued rights/liabilities and pending remedies (explained in Chapter 5)

Verification note: The repeal has been verified from the official text of the Repealing and Amending Act, 2019 hosted on the India Code portal (indiacode.nic.in), and from the Legislative Department's consolidated list of Acts repealed between June 2014 and 2025 (legislative.gov.in). Candidates should therefore treat any study material presenting this Act as currently in force as outdated.

2. Introduction and Historical Background

The Public Accountants' Defaults Act, 1850 was one of the oldest fiscal-protection statutes of British India. Enacted on 22 March 1850, its purpose was simple and stated plainly in its preamble: *“For better avoidance of loss through the default of public accountants.”* In plain language, the Act existed to protect Government money from loss caused by the people who handled it.

A “public accountant” under this Act did not mean a Chartered Accountant or an auditor in the modern sense. It meant any person entrusted, by virtue of an office, with the **receipt, custody or control of money, securities for money, or the management of land** belonging either to another person or to the Government. In the Department of Posts, this description squarely covered officials such as Postmasters, Sub Postmasters, Treasurers and other officials handling cash, stamps and savings bank money.

The Act rested on two pillars: first, such officials had to furnish **security** (a bond, cash security, or sureties) before or on taking charge of the office; and second, if a loss or defalcation (misappropriation) occurred, the head of the office could recover the amount from the official and his sureties **summarily, as if it were an arrear of land revenue** — that is, without filing a regular civil suit. This “arrear of land revenue” device made recovery fast and effective, and it is the single most examined concept from this Act.

3. Section-wise Explanation (Text as it Stood Before Repeal)

The text below is reproduced from the authoritative version of the Act as it stood immediately before its repeal, followed by a plain-language explanation of each section. Historical amendments (Adaptation Orders of 1937 and 1950, etc.) already stand incorporated in this text.

Section 1 — Public accountants to give security

Text of Section 1

Every public accountant shall give security for the due discharge of the trusts of his office, and for the due account of all moneys which shall come into his possession or control, by reason of his office.

Explanation: This section imposed a mandatory obligation — note the word “shall” — on every public accountant to furnish security. The security served two purposes: (i) to guarantee the honest and proper discharge of the duties (“trusts”) of the office, and (ii) to guarantee proper accounting of every rupee that came into the official's hands because of that office. In the postal context, this was the statutory backing for the long-standing departmental practice of obtaining security bonds and fidelity guarantees from officials employed on duties involving custody of cash or valuables.

Section 2 — Amount and kind of security, and with what sureties

Text of Section 2

In default of any Act having special reference to the office of any public accountant, the security given shall be of such amount and kind, real or personal, or both, and with such sureties (regard being had to the nature of the office), as shall be required by any rules made or to be made from time to time, by the authority by which each public accountant is appointed to his office.

Explanation: Section 2 answered the practical questions — how much security, of what kind, and with what sureties? Where no special Act governed a particular office, these matters were to be fixed by **rules made by the appointing authority** of that public accountant, having regard to the nature of the office. The security could be “real” (immovable property), “personal” (cash, bonds, personal sureties), or both. This is why, historically, the quantum and form of security for postal officials was prescribed by departmental rules and codal provisions rather than by the Act itself — the Act merely provided the enabling framework.

Section 3 — “Public accountant” defined

Text of Section 3

For the purposes of sections 1 and 2 of this Act, the expression “public accountant” means any person who as Official Assignee or Trustee, or as sarbarahkar, is entrusted with the receipt, custody or control of any moneys or securities for money, or the management of any lands belonging to any other person or persons;

and for the purposes of sections 4 and 5 of this Act the expression shall also include any person who, by reason of any office held by him in the service of the Central Government or the Government of a State, is entrusted with the receipt, custody or control of any moneys or securities for money, or the management of any lands belonging to such Government.

Explanation: This definition had two limbs, and the distinction between them is a favourite examination point:

- **First limb (for Sections 1 and 2 — security):** covered persons like an Official Assignee, a Trustee, or a sarbarahkar (a manager/agent, typically of an estate) entrusted with money, securities or land belonging to **other persons**.
- **Second limb (for Sections 4 and 5 — recovery):** was wider and expressly included every person who, by reason of an office held in the service of the **Central Government or a State Government**, was entrusted with the receipt, custody or control of Government money, securities or land. It was this limb that brought postal officials — Postmasters, Treasurers, and other cash-handling officials — within the recovery machinery of the Act.

Note: The words “Central Government or the Government of a State” reflect adaptations made after 1947/1950 to the original 1850 text; the substance of the definition remained the same throughout.

Section 4 — Prosecution of accountants and sureties (the heart of the Act)

Text of Section 4

The person or persons at the head of the office to which any public accountant belongs may proceed against any such public accountant and his sureties for any loss or defalcation in his accounts, as if the amount thereof were an arrear of land-revenue due to Government.

Explanation: Section 4 was the operative and most important provision of the Act. Break it into its elements:

- **Who could proceed?** The head of the office to which the public accountant belonged — in the postal setting, typically the Head of Division (e.g., the Superintendent of Post Offices).
- **Against whom?** Both the public accountant himself and his sureties.
- **For what?** Any loss or defalcation (embezzlement/misappropriation) in his accounts.
- **How?** As if the amount were an arrear of land revenue due to Government — i.e., through the summary revenue-recovery machinery (certificate to the Collector, attachment, etc.) instead of a time-consuming civil suit.

This legal fiction — treating a departmental loss as an **arrear of land revenue** — is what made the Act so powerful. It was under this section that the Department of Posts

historically issued recovery orders and certificates against officials responsible for misappropriation of post office funds.

Section 5 — Enactments applied to proceedings by and against accountants

Text of Section 5

All Regulations and Acts now or hereafter to be in force for the recovery of arrears of land-revenue due to Government, and for recovery of damages by any person wrongfully proceeded against for any such arrear, shall apply, with such changes in the forms of procedure as are necessary to make them applicable to the case, to the proceedings against and by such public accountant.

Explanation: Section 5 supplied the procedure for the fiction created by Section 4. It attracted, with necessary changes (*mutatis mutandis*), the entire body of land-revenue recovery law — both Central law (such as the Revenue Recovery Act, 1890) and State revenue recovery Acts (such as the Kerala Revenue Recovery Act or the Tamil Nadu Revenue Recovery Act) — to proceedings against a public accountant. Importantly, it worked both ways: it also applied the laws that allowed a person **wrongfully proceeded against** to recover damages, giving the official a remedy against wrongful recovery.

Section 6 — Validation of former rules (repealed in 1870)

Text of Section 6

[Validation of former rules.] — Repealed by the Repealing Act, 1870 (Act XIV of 1870).

Explanation: Section 6 originally validated security-related rules made before 1850. Having served its transitional purpose, it was repealed by the Repealing Act, 1870. So for about 150 years, the Act effectively operated with five sections. Do not confuse this early repeal of one section with the 2019 repeal of the whole Act.

4. Extent and Application (Historical)

- The Act was declared to be in force in all the Provinces of India (except the Scheduled Districts) by the Laws Local Extent Act, 1874, and was later extended to various Scheduled Districts by notifications, and to the Union Territory of Puducherry by Act 26 of 1968.

- It stood partially repealed in the former Bombay State by the Bombay Land Revenue Code, 1879, and was repealed in its application to Bellary District by Mysore Act 14 of 1955; it was amended in Orissa by Orissa Act 3 of 1969.
- Despite its age, the Act remained live law until 2019 and was frequently invoked — most visibly by the Department of Posts — as the foundation for summary recovery of defalcated amounts, a fact reflected in a long line of High Court decisions.

5. The Repeal — Repealing and Amending Act, 2019

KEY FACT FOR THE EXAMINATION

The Public Accountants' Defaults Act, 1850 (Act XII of 1850) was repealed by **Section 2 read with the First Schedule of the Repealing and Amending Act, 2019 (Act No. 31 of 2019)**, which received the assent of the President on **8 August 2019**. It is the first (oldest) entry in the First Schedule of that Act. The Repealing and Amending Act, 2019 repealed 58 Acts in all and made minor amendments to two others (the Income-tax Act, 1961 and the Indian Institutes of Management Act, 2017).

Why was it repealed?

The repeal was part of the Government of India's continuing exercise (carried out through successive Repealing and Amending Acts of 2015, 2016, 2017 and 2019) to weed out obsolete, redundant and spent laws identified, among others, by the Law Commission of India and the committee on review of obsolete laws. The 1850 Act was considered a pre-Constitution relic whose functions were adequately served by modern service rules, financial rules and recovery mechanisms.

The savings clause — Section 4 of the 2019 Act

A Repealing and Amending Act is a “legislative broom” — it sweeps away dead statutes without disturbing things already done under them. Section 4 of the 2019 Act expressly saves the following, and this is important for understanding why old recovery proceedings did not collapse on 8 August 2019:

- **References in other laws:** the repeal does not affect any other enactment in which the repealed Act has been applied, incorporated or referred to.

- **Past acts and accrued liabilities:** the validity and consequences of anything already done or suffered, and any right, title, obligation or liability already acquired, accrued or incurred, remain unaffected — as does any remedy or proceeding in respect thereof.
- **No revival:** the repeal does not revive anything not in force or existing at the time.

Practical effect: recovery proceedings validly initiated under Section 4 of the 1850 Act before 8 August 2019, and liabilities that had already accrued under it, were saved. But **fresh recovery proceedings cannot be initiated under the 1850 Act after its repeal.**

6. Position After the Repeal — How Recovery Works Now (DoP Context)

With the 1850 Act gone, the Department of Posts recovers pecuniary loss caused by its officials through the following verified, currently in-force routes:

- **CCS (CCA) Rules, 1965 — Rule 11(iii):** “recovery from pay of the whole or part of any pecuniary loss caused by the Government servant to the Government by negligence or breach of orders” is a prescribed minor penalty, imposable after disciplinary proceedings.
- **CCS (Pension) Rules, 2021 — Rule 8:** permits withholding or withdrawing pension (in full or part) and ordering recovery of pecuniary loss caused to the Government from pension/gratuity, where the pensioner is found guilty of grave misconduct or negligence in departmental or judicial proceedings.
- **Security bonds and fidelity guarantee:** departmental instructions continue to require security/fidelity guarantee from officials (including Gramin Dak Sevaks under their engagement conditions) employed on duties involving custody of cash and valuables; recovery can be effected by enforcing the bond as a contract.
- **Civil and criminal action:** a civil suit for recovery, and criminal prosecution (e.g., for criminal breach of trust by a public servant, and offences under the Prevention of Corruption Act, 1988) remain available in defalcation cases.
- **Revenue Recovery Act, 1890:** this Central Act itself remains in force, but it is machinery for Collectors to recover sums that some law makes recoverable as arrears of land revenue. After the repeal of the 1850 Act, there is no longer a general statutory provision converting a postal official's defalcation into an “arrear of land revenue”; the 1890 Act therefore cannot, by itself, be used for such recovery.

Uncertainty flag (stated honestly): no specific Department of Posts circular consequent upon the 2019 repeal (e.g., formally withdrawing references to the 1850 Act in departmental volumes) could be located in public sources at the time of preparing these notes. Older editions of departmental publications and old case law will still mention the Act. Where a present-day question of recovery procedure arises in office work, the current CCS rules, GFR 2017 and the latest Directorate instructions should be applied, and any surviving codal reference to the 1850 Act should be read subject to its repeal.

7. Illustrative Case Law (Pre-Repeal Era)

The following decisions illustrate how the Act was actually used against postal and other government officials. They remain useful for understanding the concept, though the Act itself is now repealed:

- **Superintendent of Post Offices v. Annie Mathew, 2002 (1) KLT 676 (Kerala HC):** recovery proceedings initiated under the Public Accountants' Default Act, 1850 against a postal employee could be pursued through the State revenue recovery machinery, the defalcated amount being recoverable as an arrear of land revenue.
- **Sajeesh G. v. Union of India (Kerala HC):** dealt with the requirement of proper quantification of the amount before recovery is proceeded with under the revenue recovery machinery in a case that originated from proceedings of this nature against a postal employee.
- **Various High Courts (Allahabad, Patna, Orissa, M.P., Uttarakhand, etc.)** repeatedly upheld the competence of heads of offices — including Superintendents of Post Offices — to proceed under Section 4 for losses and defalcations, while insisting on due opportunity to the official and proper determination of the amount.

8. Quick Revision Capsule — One-Liners for the Examination

Point	Answer
Year and Act No.	1850; Act No. XII of 1850 (dated 22 March 1850)
Object	Avoiding loss to Government by default of public accountants
Total sections	6 (Section 6 repealed by the Repealing Act, 1870)
Section 1	Public accountants to give security — mandatory
Section 2	Amount/kind of security and sureties — fixed by rules of the appointing authority
Section 3	Defines “public accountant” — two limbs: (i) Official Assignee/Trustee/sarbarahkar for Ss. 1–2; (ii) Central/State Government servants entrusted with Government money/land for Ss. 4–5
Section 4	Head of office may proceed against the accountant AND his sureties for loss/defalcation as if it were an arrear of land revenue
Section 5	Applies all land-revenue recovery laws (with necessary changes) to such proceedings, including remedies for persons wrongfully proceeded against
Repealed by	Repealing and Amending Act, 2019 (Act 31 of 2019) — assent 8 August 2019 — first entry in its First Schedule
Savings	Section 4 of the 2019 Act saves things already done, accrued liabilities and pending remedies; no revival of anything not in force
Recovery today (DoP)	CCS (CCA) Rules 1965 [Rule 11(iii)], CCS (Pension) Rules 2021 [Rule 8], security/fidelity bonds, civil suit, criminal prosecution

9. Sources and Verification Trail

Every statutory statement in these notes has been checked against the following primary sources (all accessed and verified in July 2026):

- The Public Accountants' Default Act, 1850 — authoritative pre-repeal text with footnotes (as maintained on the India Code / Legislative Department repository).

- The Repealing and Amending Act, 2019 (Act No. 31 of 2019) — official text on India Code (indiacode.nic.in), assented to on 8 August 2019; First Schedule, first entry: “1850 — XII — The Public Accountants' Defaults Act, 1850”; Section 4 (Savings).
- Legislative Department, Ministry of Law and Justice — consolidated “List of Repealed Acts from June 2014 to 2025” (legislative.gov.in), confirming the repeal of Act XII of 1850 by Act 31 of 2019.
- The Revenue Recovery Act, 1890 (Act 1 of 1890) — in force; scheme of certificate-based recovery by Collectors.
- CCS (CCA) Rules, 1965 and CCS (Pension) Rules, 2021 — for the current recovery mechanisms noted in Chapter 6.

— End of Notes —

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